



out also made sense from the perspective of reasonable valuation.”

Mour says Torrent is not dogmatically committed to any single fuel. “Capital is deployed where risk-adjusted returns are most attractive. This pragmatism sharply distinguishes Torrent from pure-play renewable energy developers who chase headline gigawatts at a thin IRR (internal rate of return) or legacy thermal players anchored to coal,” he says. This makes Torrent’s investors more comfortable, even if the company appears to be writing big cheques.

The Nabha deal is one such example. A report by Crisil on February 24 said though the purchase is likely to be funded entirely through debt, it is “not expected to have a material impact on the company’s financial risk profile.” The reason: expected synergies can be absorbed within Torrent Power’s overall leverage thresholds.

“The anticipated incremental debt will be supported by stable Ebitda contributions from the acquired asset and robust internal accruals from existing regulated and long-term contracted businesses,” it added.

Mour believes this deal is Torrent’s boldest move to date.

“The entry valuation, at a meaningful discount to the ₹6-7 crore per MW replacement cost benchmark, provides adequate margin of safety. The primary risk is the long-term PPA with Punjab State Power Corporation, a financially distressed discom, with a history of payment delays and tariff disputes,” he explains. But Torrent’s ability to navigate regulation and Punjab’s supply shortfall make the risk manageable at the price paid, he says.

For Mehta, there is little respite from a busy schedule. Come March-end and work takes a different dimension.

The marquee Indian Premier League kicks off and he will be there cheering for Gujarat Titans, not just because he lives in the state. Last February, Torrent Group picked up a 67% stake in the franchise from CVC Capital Partners. The new brand identity will be even more visible, and Mehta is not complaining. For him and Torrent, there is no dearth of opportunities. **BT**

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GROWTH PUSH

- 01 **Torrent is making a big push to become more of a B2C company**
- 02 **To achieve this, it has set aside a capital outlay of around ₹1 lakh crore over the next six-seven years**
- 03 **Its uniqueness is the vertically integrated structure, one that is rare among listed power entities**
- 04 **Acquisitions have accounted for a big part of its growth, including the recent purchase of Nabha Power**

